

Multisignature Wallets: A Guide for Democratic Organizations

A guide by Bread Cooperative



About This Guide

This guide is created by **Bread Cooperative**, a solidarity network building digital infrastructure for working people. We create tools that serve people and empower collective action, not extract profit.

We're founded on principles of mutual aid, transparent governance, dual power, and economic democracy. This guide shares the tools and practices we use to manage our own finances democratically and support other organizations doing justice work, aid distribution, and community organizing.

What you'll learn:

- How to create transparent, accountable financial systems
- Step-by-step instructions for using Safe multisig wallets
- Best practices for democratic treasury management
- How to resist de-platforming and build financial resilience

Want to work with us or learn more? See the "About Bread Cooperative" section at the end of this guide.

About This Guide.....	2
What you'll learn:.....	2
Introduction.....	3
Why Democratic Organizations Need Better Financial Tools.....	3
Why Web3?.....	4
Important Considerations.....	4
Getting Started: Wallet Basics.....	6
Understanding Wallets.....	6
Types of Wallets.....	7
What is a Multisignature Wallet?.....	8
Key Features.....	8
Common Use Cases.....	8
Step-by-Step Guide.....	9
Step 1: Creating a Multisig Wallet.....	9
Step 2: Adding Signers (Creating Democratic Structure).....	11
Step 3: Making a Transaction.....	12
Step 4: Setting Spending Limits.....	14
Important Things to Keep in Mind.....	17
Democratic Process.....	17
Security Best Practices.....	17
Choosing Your Structure.....	17
Transaction Speed and Costs.....	17
Getting Funds In and Out.....	18
Additional Resources.....	19
Tools Mentioned.....	19
Advanced Features.....	19
Learning More.....	19
The Bread Cooperative Model.....	19
About Bread Cooperative.....	20
Who We Are.....	20
Our Network.....	21
Get In Touch.....	23

Introduction

Why Democratic Organizations Need Better Financial Tools

Traditional financial infrastructure presents significant challenges for democratic organizations, cooperatives, and NGOs:

1. **De-platforming and weaponization:** Organizations face account closures and persecution for their work
 - **Lack of transparency:** Opaque financial systems breed corruption and prevent collective accountability
 - **High transaction costs:** International transfers can take months and cost 20% in fees
 - **Banking access barriers:** Many communities, especially in the Global South, lack access to traditional banking
 - **Undemocratic structures:** Current financial tools elevate hierarchies rather than supporting collective decision-making
 - **Funding crisis:** Organizations face major defunding as traditional support structures collapse

Why Web3?

Web3 technology offers solutions through:

- **Collectively governed digital commons:** Democratic control over shared resources
- **Cryptographic security:** Mathematical verification of transactions
- **Open protocols:** Not controlled by any single platform that can freeze or withhold funds
- **Political resilience:** Protection from weaponization and blockades
- **Fast, low-cost transfers:** Near-instant international payments with minimal fees
- **Transparency:** All transactions visible and verifiable by members

Important Considerations

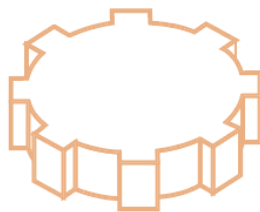
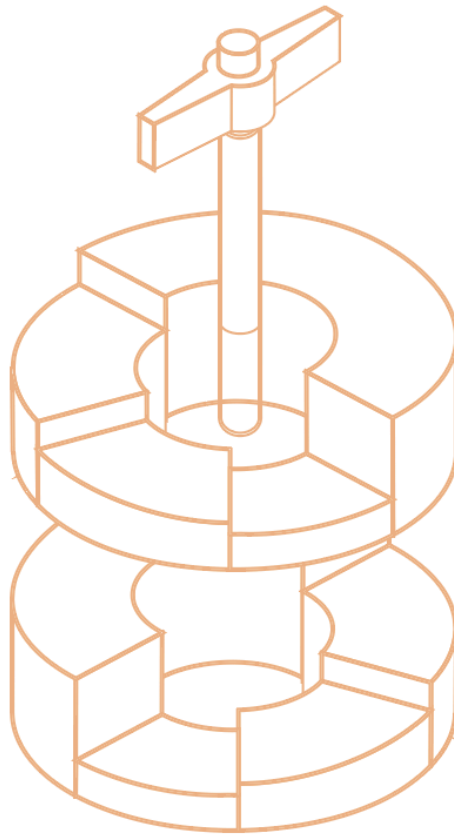
Energy Use: Modern blockchain systems like Ethereum leverage proof of stake consensus mechanisms and use only a fraction of the energy of platforms like Google or Bitcoin.

Cost: Transaction fees on layer 2 networks like Gnosis Chain are typically fractions of a penny.

Legality: Generally legal in most jurisdictions, though regulations vary by country. Crypto does often lie in a legal grey zone but that's because it works.

Volatility: Use stablecoins (cryptocurrencies pegged to USD, EUR, or other assets) to avoid price volatility.

Privacy: While transactions are transparent, there are privacy-focused wallet options available if needed.



Getting Started: Wallet Basics

Understanding Wallets

A crypto wallet is like your bank account, but you control it completely. To interact with any Web3 application, you need a wallet.

Key Concepts:

- **Private Key:** Your password/login (NEVER share this with anyone)
- **Public Key:** Your account number/IBAN (safe to share for receiving funds)
- **If you lose your private key, you lose access to your funds permanently**

Private keys



Accessing and securing crypto assets. For creating digital signatures.

Purpose

Available only to its owner. It should be kept secret and must never be disclosed.

Storage

Generated by a true random number generator.

Generation

It cannot be derived from a public key or digital signature.

Security

Public keys



Verifying the legitimacy of transactions. It also serves as an address.

Stored in the public domain and can be disclosed to third parties as a wallet address.

Generated with a private key.

It can be derived from a private key or viewed in the blockchain registry.

Types of Wallets

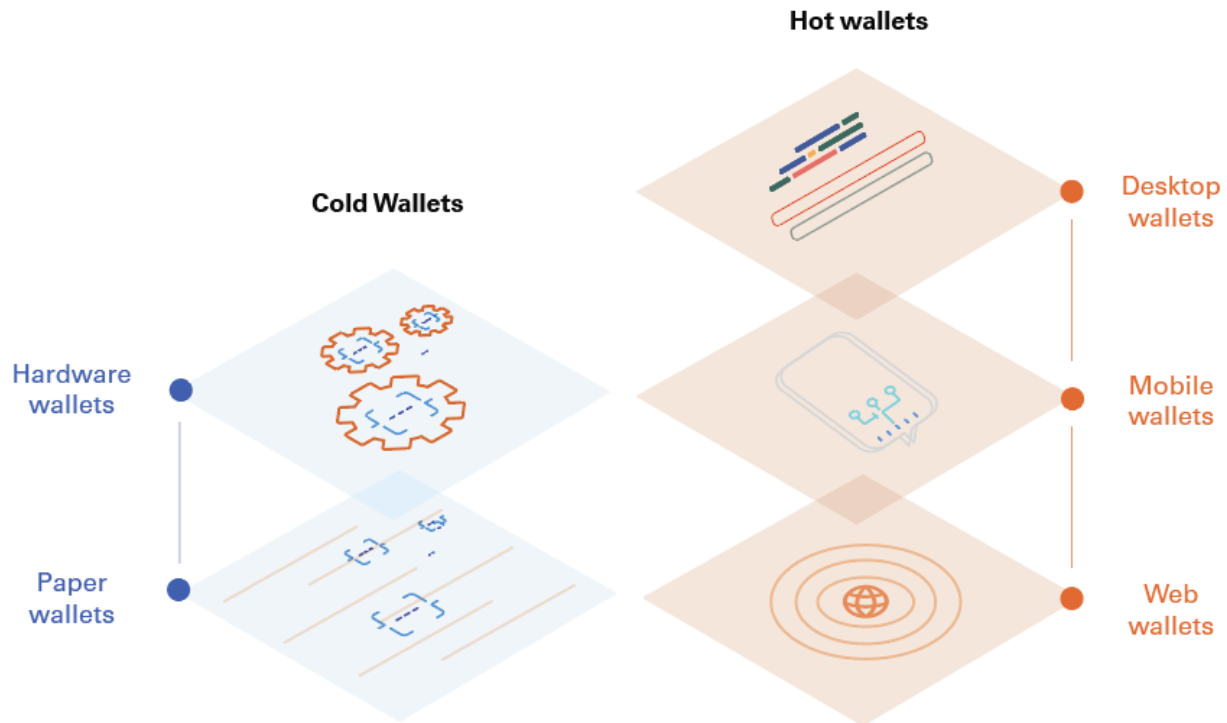
Cold Wallets (Most secure, offline):

- Hardware wallets (Ledger, Trezor)
- Paper wallets (written private keys stored securely)

Hot Wallets (Easier to use, connected to internet):

- Browser extensions (recommended: Rabby)
- Desktop applications
- Mobile apps (e.g., Citizen Wallet)

Recommended Starting Point: Install Rabby browser extension for desktop use. It provides excellent organization, clear transaction information, and multi-wallet management.



What is a Multisignature Wallet?

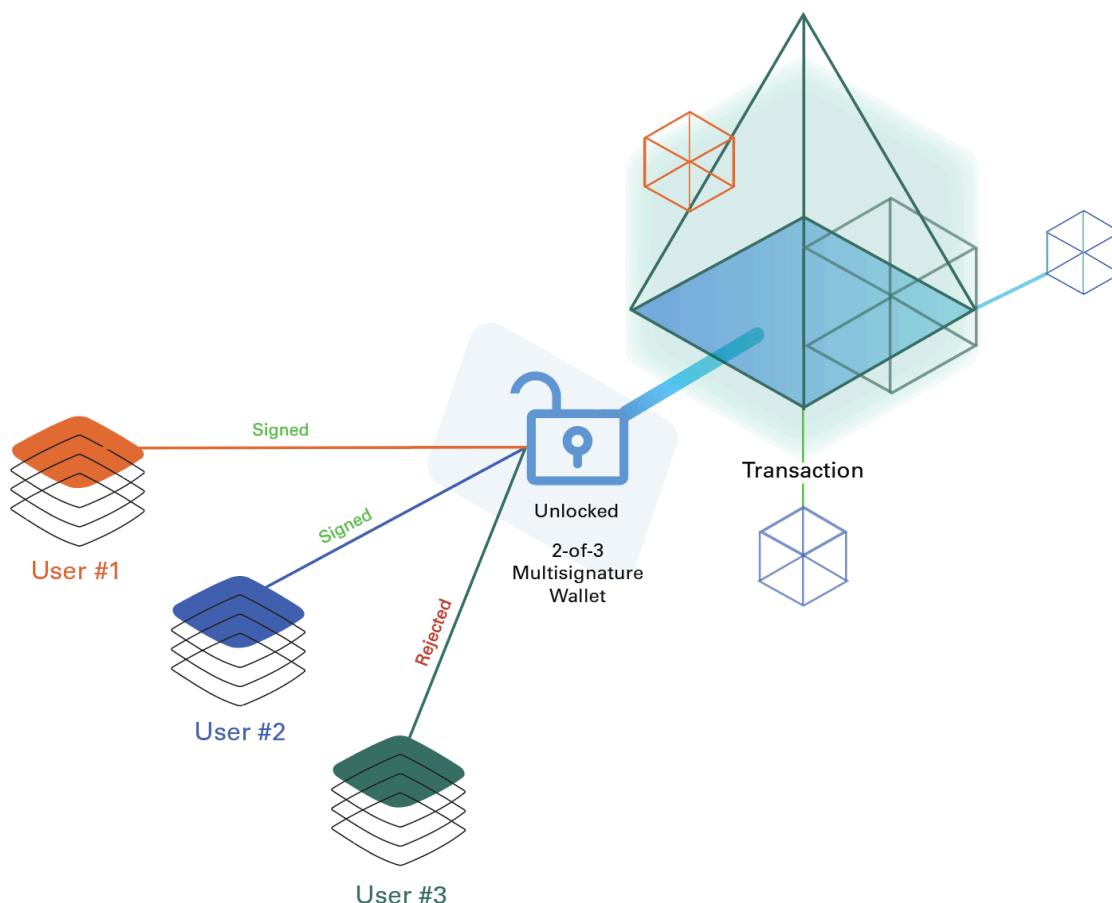
A multisignature (multisig) wallet is like a **joint bank account with built-in democratic rules**. Multiple people share control, and transactions require approval from a specified number of owners. The most common tool to use for multisignature wallets is Safe

Key Features

- **Threshold signing:** Set how many approvals are needed (e.g., 2 out of 3 people)
- **Full transparency:** All members can see proposed transactions
- **Programmable rules:** Set spending limits and automated permissions
- **No single point of failure:** No one person can unilaterally access or move funds

Common Use Cases

- Treasury management for cooperatives and DAOs
- Salary payments for distributed teams
- Aid distribution requiring oversight
- Project funding with accountability
- Any situation requiring democratic financial control



Step-by-Step Guide

Step 1: Creating a Multisig Wallet

Time Required: 2-3 minutes

Cost: Free (sponsored) or ~\$0.001 if self-paid

1. Go to the Safe application

- Visit: app.safe.global
- Connect your wallet (we recommend using Rabby in the browser as a starter)

2. Create New Account

- Click "Create new Safe"
- Name your wallet (e.g., "Organization Treasury")

3. Select Networks

- Choose which blockchain(s) to use
- We recommend Gnosis Chain as a start to practice because transactions are free or extremely cheap and it's the main blockchain we use for our applications.
- You can select multiple networks as well which would create multisignature wallets with the same address

4. Add signers

- If you already know who will be a part of your multisignature wallet, then add their Ethereum based address (starts with 0x...)
- You can always add addresses later
- Set the threshold which will determine the minimum amount of signers needed to approve a transaction

5. Review and Create

- Review your setup
- Click "Create Account"
- Choose "Sponsored Transaction" (free) or pay the minimal fee yourself
- Confirm in your wallet

Result: You now have a multisig wallet address that you can share with others to receive funds.

Create new Safe Account

1

Set up the basics

Give a name to your account and select which networks to deploy it on.

Name Organization Treasury i

Select Networks

Choose which networks you want your account to be active on. You can add more networks later.

Gnosis Chain x v

By continuing, you agree to our [terms of use](#) and [privacy policy](#).

Cancel

Next

Create new Safe Account

2

Signers and confirmations

Set the signer wallets of your Safe Account and how many need to confirm to execute a valid transaction.

Signer name Safe Demo 1	Signer  Safe Demo 1 i gno:0x4bE1a6f72c82c400294cAb40...
Signer name Safe Demo 2	Signer  Safe Demo 2 i gno:0x13D57fcef4FbB5290A70814f... v



+ Add new signer

Threshold i

Any transaction requires the confirmation of:

1 v out of 2 signers

← Back

Next

Step 2: Adding Signers (Creating Democratic Structure)

Time Required: 2-3 minutes

Cost: Free (sponsored) or ~\$0.001

1. Access Settings

- Open your Safe wallet
- Navigate to Settings

2. Add New Signer

- Click "Manage signers"
- Click "Add new signer"
- Enter the wallet address of the person you want to add
- Give them a recognizable name

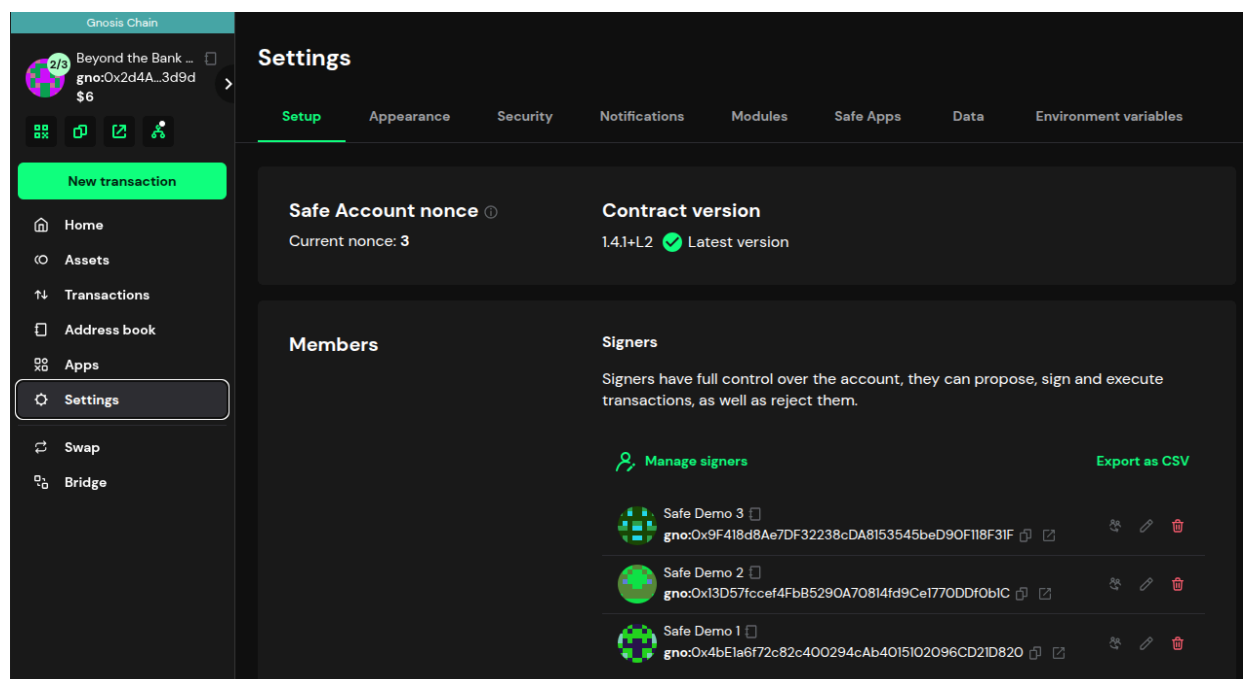
3. Set Threshold

- Choose how many signatures are required
- Example: 2 of 3 means 2 people must approve each transaction

4. Execute Change

- Review the changes
- Click "Continue" then "Execute"
- Choose sponsored transaction to approve it for free
- Confirm in your wallet

Best Practice: Use majority thresholds (e.g., 3 of 5, 2 of 3) to balance security with practicality. Requiring unanimous approval can create bottlenecks if someone is unavailable.



Step 3: Making a Transaction

Time Required: 3-5 minutes (depending on number of signers)

Cost: Free (sponsored) or ~\$0.001

1. Initiate Transaction

- Click "New Transaction" then select "Send Tokens"
- Choose the token (e.g., XDAI for dollars) and enter amount to send
- Enter the recipient's wallet address
- Click "Next"

2. First Signature

- Review transaction details
- Click "Sign"
- Confirm in your wallet
- **Note:** You cannot execute yet if threshold requires multiple signatures

3. Notify Other Signers

- Transaction appears in "Transactions" tab with status "Requires X more signatures"
- Other signers will see pending transaction when they connect

4. Additional Signatures

- Each required signer connects their wallet
- Opens the pending transaction
- Reviews and signs
- Final signer will see "Execute" button

5. Execution

- Last required signer clicks "Execute"
- Transaction is broadcast to blockchain
- Funds transfer (typically completes in seconds)

Important: Coordinate with your co-signers. Have a process for proposing, discussing, and approving transactions. This is where the "human" element of democratic management comes in.

New transaction

 Gnosis Chain



Send tokens

Nonce # 3

Recipient address



Safe Demo 3

gno:0x9F418d8Ae7DF32238cDA8153545beD90F118F31F



Amount *

1

MAX



xDai
6 XDAI



+ Add recipient

1/5

Next

Pending transactions 1

View all >

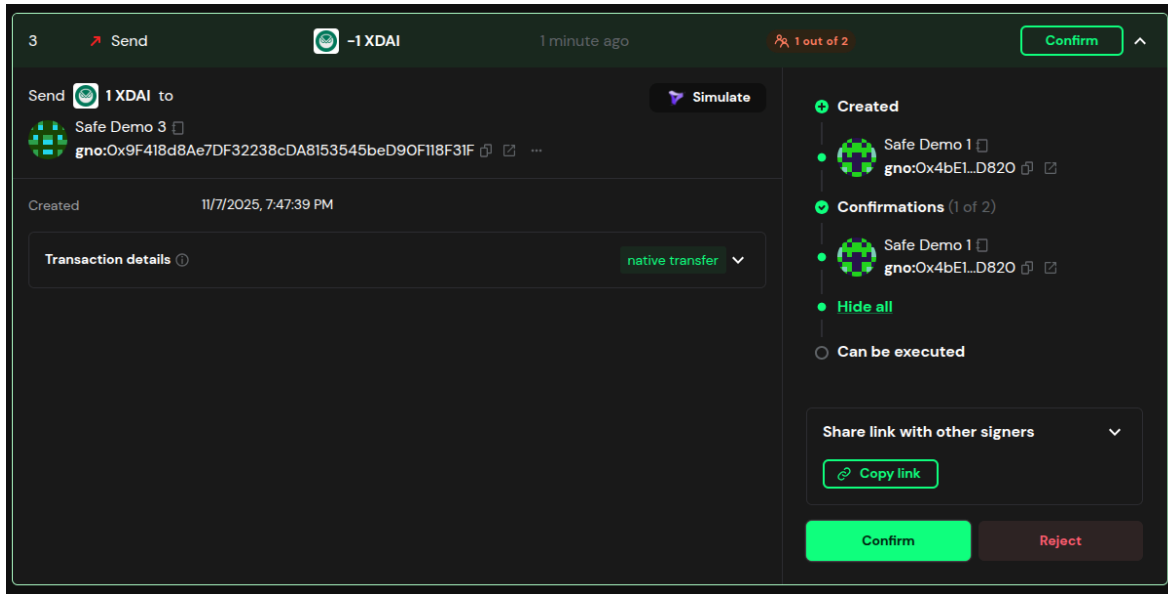


Send  -1 XDAI

less than a minute ago



1 out of 2



Step 4: Setting Spending Limits

Time Required: 2-3 minutes

Cost: Free (sponsored) or ~\$0.001

Spending limits allow specific wallets to withdraw funds without requiring multi-signature approval—perfect for recurring payments like salaries or project budgets.

1. Access Spending Limits

- Navigate to Settings → Scroll Down → Spending Limits
- Click "New Spending Limit"

2. Configure Limit

- **Beneficiary:** Enter wallet address (can be a current signer or external wallet)
- **Token:** Choose which token they can spend (e.g., XDAI)
- **Amount:** Set maximum per period
- **Reset Period:** Choose frequency (One-time, Daily, Weekly, Monthly)

3. Execute Setup

- Review settings
- This requires the threshold number of signatures to approve
- Once approved, the spending limit is active

4. Using a Spending Limit

- Beneficiary connects their wallet to the Safe
- Clicks "New Transaction" → "Send Tokens"
- Selects "Spending Limit" option

- Can immediately execute up to their limit without additional signatures but it does require paying for the transaction fee

Use Cases:

- Monthly salary payments to team members
- Project budgets for specific initiatives
- Operational expenses for day-to-day activities
- Aid distribution with oversight

Important: Spending limits still maintain transparency (all transactions are visible) but remove friction for pre-approved expenses.

 **Spending limit**

Nonce #

Beneficiary

 **Safe Demo 1** 

gno:0x4bE1a6f72c82c400294cAb4015102096CD21D820



Amount *

 **xDai**

5 XDAI ▼

Reset Timer

Set a reset time so the allowance automatically refills after the defined time period.

Time Period

One time ▼

Next



Send tokens

Recipient address



Safe Demo 1

gno:0x4bE1a6f72c82c400294cAb4015102096CD21D820



Amount *

1

MAX



xDai
5 XDAI



Send as *



Standard transaction ⓘ



Spending limit (1 XDAI) ⓘ

Next

Spending limit transactions only appear in the interface once they are successfully processed and indexed. Pending transactions can only be viewed in your signer wallet application or under your wallet address on a Blockchain Explorer.

Send



XDAI 1

Recipient



Safe Demo 1

gno:0x4bE1a6f72c82c400294cAb4015102096CD21D820



Estimated fee

< 0.00001 XDAI



You're about to create a transaction and will need to confirm it with your currently connected wallet.

← Back

Execute

Important Things to Keep in Mind

Democratic Process

Technology is only part of the solution. Successful use requires:

- **Regular meetings:** Discuss budgets, review spending, set expectations
- **Clear policies:** Document how decisions are made and what requires approval
- **Budget reviews:** Quarterly or monthly financial check-ins
- **Consensus building:** Reach agreement before implementing policies in the Safe
- **Communication:** Keep all signers informed of pending transactions

Security Best Practices

1. **Never share your private key** with anyone, ever
2. **Keep backup** of your private key in a secure location
3. **Use strong passwords** for wallet applications
4. **Verify addresses carefully** before sending (one wrong character = lost funds)
5. **Start with small amounts** when testing new wallets or processes
6. **Be cautious of phishing** - always verify you're on the correct website

If you need guidance for setting something like this up for your organization, reach out to us at contact@bread.coop

Choosing Your Structure

Consider these factors when setting up:

- **Decision-making culture:** Match your threshold to how you make decisions
- **Availability:** Account for members who may be unavailable to sign off on transactions
- **Organization size:** Larger groups may need different thresholds
- **Risk tolerance:** Higher security = more signatures required
- **Transaction frequency:** High-frequency operations may need spending limits

Transaction Speed and Costs

- **Network fees:** Typically \$0.001 or less on Gnosis Chain and other Ethereum based layer 2 blockchains
- **Sponsored transactions:** Safe offers 5 sponsored transactions per hour on many chains but not Ethereum mainnet
- **Speed:** Usually completes in seconds

- **International:** Same speed/cost regardless of geography, significantly better than many traditional means of money transfer

Getting Funds In and Out

Receiving funds: Simply share your Safe wallet address

Converting to local currency (off-ramping):

- Local crypto exchanges
- Peer-to-peer (P2P) networks in your country
- Crypto-friendly businesses that accept direct payment
- International partners who accept crypto
- ZKP2P offers on and off boarding with Wise, Revolut, Paypal and more in many countries

Context matters: Research options specific to your country and community.



Additional Resources

Tools Mentioned

- **Safe:** app.safe.global (multisig wallets)
- **Rabby Wallet:** For browser-based wallet management
- **Gnosis Chain:** Low-fee blockchain for transactions
- **Citizen Wallet:** Mobile wallet option

Advanced Features

Safe offers many additional capabilities:

- Integration with decentralized finance (DeFi) applications
- Managing other types of digital infrastructure
- Custom transaction workflows
- Advanced governance structures

Learning More

Bread Cooperative offers:

- Workshops on crypto tools for democratic organizations
- Technical assistance setting up multisig wallets
- Consultation on financial infrastructure
- Support for aid distribution and international payments

The Bread Cooperative Model

Bread Cooperative uses these tools to create a solidarity-based economy:

- **Solidarity Fund:** A stablecoin where interest funds member projects
 - **Democratic governance:** Members vote on fund distribution
 - **Mutual aid principles:** 50% equal distribution, 50% democratic vote
 - **Post-capitalist infrastructure:** Building alternatives to extractive systems
-

About Bread Cooperative

Who We Are

Bread Cooperative is an organization building digital infrastructure for a post-capitalist future. We are a solidarity network of projects working at the intersection of communities, technology, and society.

Our Mission: To build the foundations for alternative economic systems that serve people, not power. Our ideal systems empower communities to work together and make a difference for themselves and others.

Our Principles: We are founded on:

- **Mutual aid:** Supporting each other in building collective resilience
- **Transparent governance:** Democratic decision-making in all we do
- **Dual power:** Creating alternatives that work alongside and beyond current systems
- **Economic democracy:** Distributing power, resources, and decision-making collectively

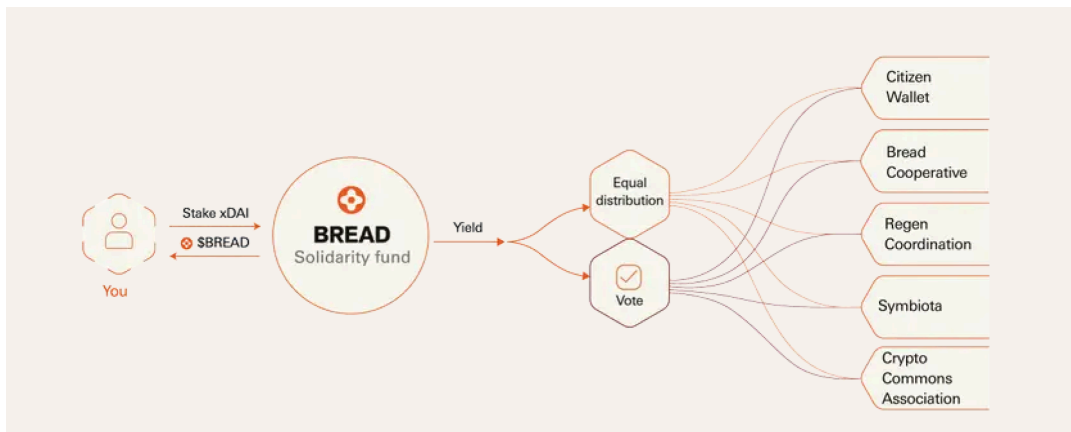
We've worked with diverse organizations including the European Commission, Optimism, and more, bringing together community needs with technological solutions.

Services for Organizations:

- **Workshops and Training:** Hands-on sessions teaching Web3 tools for democratic organizations
- **Technical Consultation:** Help setting up multisignature wallets, treasury management, and crypto infrastructure
- **Implementation Support:** Assistance with aid distribution, international payments, and financial transparency
- **Custom Solutions:** Tailored approaches for your organization's specific needs

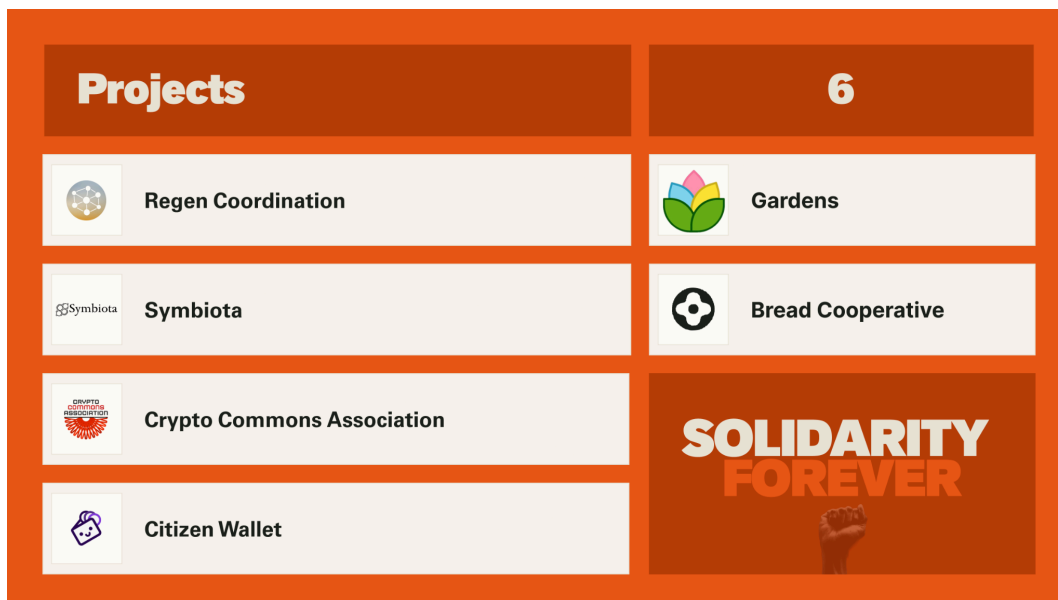
Solidarity Fund

Our flagship application, Solidarity Fund is how anyone can get BREAD, a community stablecoin pegged to USD where generated interest funds member projects democratically. We have distributed over \$50k in funds across our network through this system.



- 50% of yield distributed by votes by those who hold BREAD tokens
- 50% distributed equally among all members
- This way it grows the pie for everyone

Our Network



Bread Cooperative is more than just us—we're a network of member projects including:

- **Regen Coordination:** Global network driving the Regenerative Finance movement
- **Symbiota Cooperative:** Event-focused organisations devoted to new forms of culture
- **Crypto Commons Association:** Events on commons theory and crypto
- **Citizen Wallet:** Mobile wallet for web3 community currencies
- **Gardens:** Innovative governance platform using conviction voting



WE ARE
BREAD
COOPERATIVE

Get In Touch

Want to learn more or work with us?

We offer:

- Free introductory consultations
- Workshops for your organization or network
- Technical support for implementation
- Ongoing partnership opportunities

Contact Information:

- **Newsletter:** <https://paragraph.com/@breadcoop>
- **Website:** <https://bread.coop/>
- **Email:** contact@bread.coop
- **LinkedIn:** <https://www.linkedin.com/company/bread-cooperative>
- **Twitter:** <https://x.com/breadcoop>
- **Linktree:** <https://linktr.ee/breadcoop>

Interested in our tools?

- Explore the Solidarity Fund: <https://app.breadchain.xyz/>
- Download Citizen Wallet: <https://citizenwallet.xyz/>
- Join our network: <https://forms.gle/mgkGxRB5HDZJym1P9>



This guide is based on the "Beyond the Bank: Financial Tools for Democratic Organizations" webinar by Bread Cooperative, delivered by Gilberto Maurishaw and Joshua Davila on November 6th, 2025.